

# Consumers as creditors in corporate bankruptcy: a cross country comparison

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# 1 Introduction

It is a common practice for businesses to collect advances or pre-payments from their customers against a promise of delivery of goods or services in the future. So what happens to these advances when the business becomes insolvent? This question has been a subject of much deliberation across countries, specially in cases where the customers involved are consumers, and where the value of such advances is relatively large.

In India, this conversation began with a writ petition being filed in the Supreme Court in respect of advances made to real estate businesses.<sup>1</sup> This has posed various questions in terms of the protection of consumer interests when the corporate debtor undergoes insolvency.

Remedies for aggrieved consumers are ordinarily available in consumer protection laws and contract law. Provisions for compensation, repayment of advances, separate or escrow accounts for receipts from consumers, are, essentially aimed at providing monetary relief to such consumers. Why then, are consumers in such a limbo and at the mercy of the bankruptcy law for recovery from defaulting debtors? Is it that the consumer protection mechanism has failed to address consumer grievances? Is it that once bankruptcy is adjudged, despite decrees of relief, consumers still rank low in repayment of their dues and are worst affected? Going one step backwards, should the State worry about this issue when the **Insolvency and Bankruptcy Code (IBC)** is a law aimed at resolution of firms and not repayment of debt?

In this paper, we attempt to answer these questions. In section 2, we analyse the laws applicable to consumers in India, including the *Insolvency and Bankruptcy Code*. We then undertake a cross country comparison in respect of consumer rights in the **UK** and the **USA** in section 3. Section 4 then contains our observations from the cross country comparison and comments on the lessons which India can learn from the experiences in the **UK** and the **USA**.

## 2 Indian laws applicable to consumers

Consumers are fundamentally different from sophisticated customers who pay advances. In most cases, consumer pre-payments are towards purchases/services that will be used for consumption and not for profit making or risk taking. When the supplier firm becomes insolvent, consumers may not be aware of the insolvency event, the status of their claims in the resolution process, or have the financial and legal resources to pursue recovery. Often,

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<sup>1</sup>Details provided in Box 1

since companies try to push up their sales in the period preceding insolvency, the quantum of such pre-payments may be at their highest when insolvency proceedings commence.

There also exists significant diversity in the nature, size and form of consumer advances across sectors. These could be for high value purchases, such as homes, automobiles, electronic goods, or for smaller purchases such as travel, apparel, groceries or annual maintenance contracts for home appliances, home cleaning services and so on. There can also be implicit pre-payments, such as airline miles, accumulated reward points or gift vouchers.

There are various laws applicable to consumer pre-payments. Since all such transactions arise out of contracts, the *Indian Contract Act* becomes applicable. The *Sale of Goods Act* is a legislation created specifically to govern the sale of goods and services. Similarly, other transfer of property, especially in the context of immovable property, is governed by the *Transfer of Property Act*. Other legislations for protecting consumer interests are the *Consumer Protection Act* and sector specific laws such as the *Real Estate (Regulation and Development) Act*. Wherever there is some damage caused due to a deficiency in the goods or services acquired by consumers, the Law of Torts also comes into the picture. Finally, the *Insolvency and Bankruptcy Code* deals with how each of the rights of consumers under the foregoing laws are affected when the supplier / service provider undergoes insolvency proceedings. Each of these laws and their applicability to consumer pre-payments are discussed in this section.

## 2.1 Indian Contract Act, 1872

### 2.1.1 Applicability to consumers

All consumer transactions of purchase / sale of goods or services arise out of an agreement to purchase or sell the same. As per the *Indian Contract Act*, an agreement is a contract if it is made *by the free consent of parties competent to contract, for a lawful consideration and with a lawful object*, unless specifically declared a void contract under the Act.<sup>2</sup> Therefore, any relief which a consumer requires in terms of the terms of the contract or performance of obligations under such contract, she may approach a civil court seeking such reliefs under the *Indian Contract Act*.

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<sup>2</sup>Section 10 of the *Indian Contract Act*

### 2.1.2 From consumer to creditor

In terms of consumer pre-payments made in respect of such a contract, they may either constitute full advance payment of the consideration amount for purchasing a good / availing a service or making a part payment as advance for the purchase.

If the seller/service provider is unable to provide the contracted goods/services then this action or inaction of the seller/service provider amounts to a breach of contract. The consequences of a breach of contract are mentioned in Chapter VI of the *Indian Contract Act*. Section 73 states that the party who suffers by such breach is entitled to receive, from the party who has broken the contract, compensation for any loss or damage caused to her thereby, which naturally arose in the usual course of things from such breach, or which the parties knew, when they made the contract, to be likely to result from the breach of it. In order to avail this remedy, a consumer may approach a civil court. If the civil court adjudges a breach, it may, by order, award a compensation to the consumer. At this point in time, the seller/service provider owes such compensation to the consumer and the consumer becomes a creditor in respect of the compensation amount and any other monetary relief granted by the civil court.

## 2.2 Sale of Goods Act, 1930

### 2.2.1 Applicability to consumers

The *Sale of Goods Act* is a legislation specifically relating to the sale of goods. Whenever persons enter into a contract of sale of goods, they fall within the purview of this legislation. A contract of sale is made by an offer to buy or sell goods for a price and the acceptance of such offer. The contract may provide for the immediate delivery of the goods or immediate payment of the price or both, or for the delivery or payment by instalments, or that the delivery or payment or both shall be postponed.<sup>3</sup>

### 2.2.2 From consumer to creditor

Chapter 4 of the *Sale of Goods Act* deals with the performance of a contract under the Act. Section 31 defines the duties of both parties as follows: *It is the duty of the seller to deliver the goods and of the buyer to accept and pay for them, in accordance with the terms of the contract of sale*. Chapter 6 then provides for suits for breach of contract of sale. In terms of consumer

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<sup>3</sup>Section 5 of the *Sale of Goods Act*

pre-payments, if the consideration amount for the purchase of goods has been paid by the consumer either of in the expectation of delivery at a later date or for future goods, but the seller refuses delivery or wrongfully neglects delivery of goods, such consumer can, under section 57 of the Act, sue the seller for damages. Alternatively, the consumer may also approach the relevant court under the *Specific Relief Act*, by virtue of section 58 of the *Sale of Goods Act*. In both cases, if the court adjudges damages or any other monetary relief to be paid to the consumer, then post such an order of the court, the consumer becomes a creditor of the seller.

## 2.3 Transfer of Property Act, 1882

### 2.3.1 Applicability to consumers

*Please note that reference to the Transfer of Property Act has been made specifically with respect to sale or purchase of immovable property*

The *Transfer of Property Act* deals with all voluntary transfers of property. It is the *Transfer of Property Act* from which the concept of ‘passing of property’ has emerged. Property is said to have passed or changed hands when the right, title and interest in the property are transferred. For example, in a sale of immovable property, property does not pass until there is a contract of sale which is registered under the *Registration Act*. Until such time the property remains with the seller even if a consumer has paid an advance in respect of the property. The advance amount, in this case, forms part of what is termed as a ‘contract for sale’. A contract for sale of immovable property is *a contract that a sale of such property shall take place on terms settled between the parties* and it does not, of itself, create any interest in or charge on such property.<sup>4</sup>

### 2.3.2 From consumer to creditor

A contract for sale is merely an agreement to agree on a future date and enter into a contract of sale. Therefore, any amounts paid under such contract for sale and any breach of such contracts may be dealt with in the civil court under the *Indian Contract Act*. In real estate transactions specifically, purchasers of immovable property enter into a contract for future property. At the time of entering into such a contract for sale of future immovable property, purchasers often extend large sums of money as advances to the developers/builders. However, as mentioned above, section 54 of the *Transfer of Property Act* clearly mentions that such a contract by itself does not

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<sup>4</sup>Section 54 of the *Transfer of Property Act*

create any interest in or charge on the property. Therefore, at the point when despite having received a large portion (in some cases may be more than 90%) of the agreed consideration amount, the seller does not transfer the contracted property, it commits a breach of the contract for sale. At this point of time, the purchaser may either file a civil suit under the *Indian Contract Act* for breach of contract or, as a consumer under the *Consumer Protection Act*, initiate proceedings under the said Act.<sup>5</sup> If the court or tribunal, as the case may be, orders any monetary relief to the purchaser/-consumer, at that point of time, the consumer becomes a creditor of the builder/developer.

## **2.4 Consumer Protection Act, 1986**

### **2.4.1 Applicability to consumers**

The *Consumer Protection Act* is a legislation enacted specifically ‘to provide for the better protection of the interests of consumers and for that purpose to make provision for the establishment of consumer councils and other authorities for the settlement of consumers disputes and for matters connected therewith’.<sup>6</sup> If there is any defect in goods or deficiency in service promised to be delivered to the a consumer or if the seller / service provider performs any unfair trade practice, the aggrieved consumer may use the legal framework and adjudication machinery established under this Act. Further, action under this Act may also be taken in respect of any other dispute between a consumer and seller/service provider. The Act provides for the establishment of dispute resolution forums at the district, state and national level and any disputes under the Act are to be adjudicated by these authorities.

### **2.4.2 From consumer to creditor**

In respect of consumer prepayments having been made but a failure on the part of the seller/service provider to deliver the goods/services contracted upon, a complaint under the *Consumer Protection Act* may be made. Pursuant to the proceedings before it. the appropriate forum under the Act may grant repayment of the prepaid amount, payment of compensation or any other monetary relief to the consumer. Post such award being granted by the appropriate forum under the Act, a consumer becomes a creditor in respect of such reliefs.

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<sup>5</sup>Refer to section [2.4](#)

<sup>6</sup>Preamble to the *Consumer Protection Act*

## 2.5 Sector specific laws

There are certain laws in India which are enacted for specific sectors of the economy. It is a generally accepted legal principle that special laws supersede the general law. The *Real Estate (Regulation and Development) Act* is one such legislation. It is a legislation enacted for, among other things, the establishment of a **Real Estate Regulatory Authority (RERA)** for the regulation and promotion of the real estate sector and to ensure the protection of interests of consumers in the real estate sector.

Various provisions of *Real Estate (Regulation and Development) Act* provide for safeguards enacted to protect the interests of consumers. Section 13 of the Act does not permit the promoter (being the builder/developer) to obtain any deposit or advance without entering into a written agreement for sale which must be registered under the *Registration Act*. Section 18 then specifically provides for the return of the advance amount along with compensation. the Act also requires a promoter to give a declaration on affidavit that 70% of the amounts collected from the consumers will be deposited in a separate account to be maintained in a schedule bank to cover cost of the project and land cost and must be used only for that purpose.<sup>7</sup> The Act further imposes specific restrictions on the way that the amounts kept in the separate account are to be dealt with. Any complaints of the consumer have to be made to the **RERA**. Once **RERA** orders that the consumer be provided with any monetary reliefs as mentioned above or otherwise, at this time, the consumer becomes a creditor of the promoter.

## 2.6 Tort law

### 2.6.1 Applicability to consumers

The law of torts in India is the English law as found suitable to Indian conditions and as modified by the Acts of the Indian literature. IT derives its existence from Article 372 of the *Constitution of India*. (Setalvad 1960) In the simplest terms, a tort means ‘a breach of some duty independent of contract, giving rise to a civil cause of action and for which compensation is recoverable.(Ratanlal and Dhirajlal 2002) Some of the torts which may be applicable to consumers are negligence, fraud and negligent misstatements.

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<sup>7</sup>Section 4 of the *Real Estate (Regulation and Development) Act*



## 2.6.2 From consumer to creditor

The basic elements of a tort are, (a) a wrongful act, (b) damage and (c) a corresponding remedy. The essential remedy of a tort is an action for damages (compensation). If a consumer is subjected to any tort, she may approach the civil court for compensation. Once a civil court grants such compensation, the consumer becomes a creditor of such supplier/service provider.

## 2.7 Insolvency and Bankruptcy Code, 2016

The *Insolvency and Bankruptcy Code* does not contain any specific provisions in respect of consumer creditors. The *Insolvency and Bankruptcy Code* distinguishes creditors only as financial creditors or operational creditors. This distinction between the types of creditors under the *Insolvency and Bankruptcy Code* was made with the intent of ensuring equitable treatment of ‘similarly situated creditors’. Two broad liabilities of an entity were observed by the *The report of the Bankruptcy Law Reforms Committee Volume I: Rationale and Design* to be liabilities based on financial contracts and on operational contracts. The creditors in case of such liabilities were distinguished as follows: financial creditors were intended to be creditors whose relationship with the entity is a purely financial contract, such as a loan or a debt security. Operational creditors on the other hand were intended to be those whose liability from the entity comes from a transaction on operations. (Committee 2015) On a prima facie view, it seems that consumer prepayments would fall under the category of liability arising out of operational contracts. The *Insolvency and Bankruptcy Code* then defined ‘operational debt’ as *a claim in respect of the provision of goods or services including employment or a debt in respect of the repayment of dues arising under any law for the time being in force and payable to the Central Government, any State Government or any local authority*. As is prima facie evident from the definition, all claims arising out of the provision of goods or services would constitute operational debt. Therefore, consumer prepayments or consumer claims, since they arise out of the provision of goods or services by the corporate debtor, would fall under the *Insolvency and Bankruptcy Code*. However, the only consumer disputes which have been brought before the **National Company Law Tribunal (NCLT)** have been in respect of home buyers and the case law does not consider home buyers as operational creditors.

Orders in cases such as *Col. Vinod Awashti v A.M.R. Infrastructure Ltd.* quote *The report of the Bankruptcy Law Reforms Committee Volume I: Rationale and Design* to support this interpretation of the term ‘operational

debt'. While describing the concept of operational debt, the **Bankruptcy Law Reforms Committee (BLRC)** gave examples of wholesale vendors and car mechanics. these examples are illustrative of sellers of goods and service providers. The **NCLT** interpreted these illustrations as indicating that when the *Insolvency and Bankruptcy Code* define operational debt as one arising out of provision of goods and services, the creditor must be the seller of goods or service provider. The flip side of this scenario where the corporate debtor is the seller or service provider was not considered to be a part of the definition of operational debt. It may be argued that since the definition of the term operational debt refers to *claims arising out of the provision of goods or services* without stating who should be the seller / service provider, consumer prepayments once adjudicated upon by the relevant judicial / quasi judicial authority, may fall within the ambit of operational debt. However, this stand does not have precedents.

At present, consumers fall under the category of 'other creditors'. Since the *Insolvency and Bankruptcy Code* only permits financial and operational creditors to initiate insolvency proceedings, consumers do not have the right to initiate insolvency proceedings. Further, since only financial creditors are permitted to constitute the **Committee of Creditors (CoC)** consumers, like operational creditors, do not have voting powers in respect of resolution plans placed before the **CoC**. However, in view of the recent amendment to the *Insolvency and Bankruptcy Board of India (Insolvency Resolution Process for Corporate Persons) Regulations*, there is a mandate for the inclusion of a statement in the resolution plan, showing how the interests of all stakeholders will be dealt with. Therefore, the **Insolvency and Bankruptcy Board of India (IBBI)** has provided means for protecting the interests of stakeholders, including consumers through this amendment. In addition to the above, although consumers are not permitted to initiate proceedings under the *Insolvency and Bankruptcy Code*, they can file their claims with the **Resolution Professional (RP)** through Form F for claims of 'other creditors'. There are no other rights or protections specifically applicable to consumers under the *Insolvency and Bankruptcy Code*. Box 1 provides an overview of the issue concerning home buyers as creditors and proposed preferential treatment which may be accorded to them.

## 3 Cross country comparison

### 3.1 UK

#### 3.1.1 Laws applicable to consumers

The UK also differentiates between customers and consumers and accordingly makes specific legislations for the protection of interests of consumers.<sup>8</sup> Some of these legislations are: the *Consumer Rights Act* and the *Consumer Protection Act*, in addition to the applicable contract laws and specific laws such as the *Supply of Goods and Services Act*.

The *Consumer Rights Act* is a legislation which provides for, among other things, the rights of consumers and the protection of their interests.<sup>9</sup>

The *Consumer Protection Act*, on the other hand, was enacted to make provisions for, among other things, the liability of persons for damage caused by defective products.

The *Supply of Goods and Services Act* is similar to the *Sale of Goods Act* in India and defines the rights of consumers/purchasers/service recipients in respect of the supply of goods and services. It empowers the courts to grant remedies such as repair of damaged goods as well as reduction in the consideration amount for the relevant goods and services.

In addition to the above, since the Indian law of torts derives from the UK law of torts, liabilities under torts as mentioned in section 2.6 also apply to consumers in the UK.

#### 3.1.2 Enforcement mechanisms

In addition to these specific laws, the general contract law will also govern all contracts between a consumer and supplier/service provider, except when the general law contradicts these special laws. In such a case, these specific legislations will prevail.

Further, product liability or other liabilities arising out of torts such as negligence and fraud, also provide civil remedies to aggrieved consumers.

In terms of the process for obtaining redressal, it is observed that consumers in the UK may utilise three routes for obtaining relief in any consumer rights disputes:

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<sup>8</sup>A 'consumer' under section 2(3) of the *Consumer Rights Act* is defined as an individual acting for purposes that are wholly or mainly outside that individual's trade, business, craft or profession.

<sup>9</sup>Preamble to the *Consumer Rights Act*

1. In-house complaints mechanism, being the internal procedure established by the trader/service provider for dealing with consumer disputes;
2. **Alternate Dispute Resolution (ADR)**, being means of resolving disputes outside the court machinery by approaching a third party to decide upon the rights of the parties; and
3. Court process, being remedies provided by civil courts such as county courts under various laws mentioned above.

The *Final report on resolving consumer disputes* released in April 2018 provides a comprehensive analysis of enforcement by through **ADR** and the court process. The study focuses on various parameters to compare the two enforcement machineries, including time and cost of enforcement procedures. Some observations from the report are enlisted below:

- **ADR** procedures include mediation, conciliation, arbitration, adjudication and ombudsman schemes while county courts deal with consumer claims which go through three different tracks.<sup>10</sup>
- Of the sample of people surveyed for the report, 62% of the respondents found the **ADR** process simple, while 53% of the respondents found the court process to be simple.<sup>11</sup>
- In terms of time taken for completion of processes, the shortest duration for the completion of a **ADR** process was between one and four weeks (for 6% of the respondents) while the longest was more than nine months (for 13% of the respondents). Similarly, the minimum court case duration was less than four weeks (for 10% of the respondents) whereas the maximum was more than nine months (for 15% of the respondents). Further, while 50% of the court cases were disposed off between three to nine months, 41% of the **ADR** processes were completed in the same time frame.<sup>12</sup>
- In terms of the types of redress, 61% of **ADR** processes resulted in a favourable order for the consumers. similarly, outcome of 60% the court cases favoured the consumers.<sup>13</sup>
- In terms of monetary / financial awards / orders, 90% consumer respondents whose cases were solved in their favour received financial awards including compensation or refunds, whereas the corresponding

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<sup>10</sup>The three tracks are the small claim track, fast track claim and multi-track claim.(Department for Business and Strategy 2018)

<sup>11</sup>Figure 12, *Final report on resolving consumer disputes*

<sup>12</sup>Figure 20, *Final report on resolving consumer disputes*

<sup>13</sup>figure 25, *Final report on resolving consumer disputes*

number for **ADR** processes was 100%.<sup>14</sup>

As is evident from the statistics reproduced above, consumer redressal is faster in the **UK** as compared to India.

### 3.1.3 Consumers under the insolvency and bankruptcy regime

Pursuant to a favourable financial award by the appropriate authority, a consumer becomes a creditor in the **UK**, for such amount of award. As discussed in respect of consumer rights under the *Insolvency and Bankruptcy Code*, in this section, we observe the rights available to consumers under the insolvency regime of the **UK**.<sup>15</sup>

The *Report on consumer prepayments on retailer insolvency* defines a consumer prepayment as: “payment made by a consumer in advance of goods or services being provided.” This prepayment may be, of the entire amount of consideration as advance, paid by way of a deposit or a gift voucher purchased for a third party.

At the outset, the *Report on consumer prepayments on retailer insolvency* enlists some of the protections available to consumers, such as:

- The credit card company may provide a refund to the consumer when the prepaid amount has been paid using a credit card.
- The administrator may honour gift vouchers or fulfill customer orders during a period of trading in administration.
- Where the business is sold as a going concern, the subsequent purchaser of the business may choose to honour the prepayments.
- If property in the goods has passed, then the consumer would be entitled to claim possession of them on payment of any balance to the insolvency practitioner.

Other protections in which a business may protect consumer prepayments include trusts, insurance and bonds. (Law Commission **2016**) Each of these and the impact on consumer rights have been described below:

- **Trust:** Suppliers / service providers may place the advance amounts in a trust. In such cases, the beneficial interest of the amount lies with the consumer and the said amount belongs in its entirety to the consumer and not to the supplier / service provider. Therefore, for purposes of insolvency and bankruptcy, such amounts are kept outside

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<sup>14</sup>Figure 26, *Final report on resolving consumer disputes*

<sup>15</sup>In this section, as in the earlier sections, emphasis is on rights arising in respect of consumer prepayments and compensation/damages awarded to consumers.

the purview of the supplier / service provider's estate for distribution to creditors. However, if the funds kept by the supplier / service provider are insufficient, then the consumers will be paid off by means of pro-rata payments.

- **Insurance:** Insurance cover is commonly provided in sectors such as, to buyers of new build property, solar panels and double glazing and is difficult, expensive and hedged with exclusions and conditions for other sectors. (Law Commission 2016)
- **Bonds:** Commonly used in the travel industry, bonds guarantee payment of the agreed sum should a member of associations, such as the Association of Travel Agents, becomes insolvent.

The above, however, constitute some element of voluntary actions which keep the consumer pre-payments outside the purview of the debtor's estate and consequently outside the insolvency proceedings. With specific reference to laws governing insolvency, *Insolvency Act*, as modified by the *Enterprise Act*, governs corporate insolvencies in UK. Under this present legal regime, consumer prepayments, when not subject to any of the protections mentioned above, are treated as general unsecured credit. Therefore, like in India, there is no preferential treatment provided to consumers in respect of insolvent corporate debtors.

However, as is evident from the above, prior to insolvency and during insolvency, there are various protections available to consumers. Further, as mentioned in section 3.1.1, the UK has efficient, timely and a number of mechanisms and remedies for consumer protection. this does not put the burden on the insolvency regime to provide for consumer protection. However, through the *Report on consumer prepayments on retailer insolvency*, the Law Commission has made certain recommendations in respect of consumer status in the insolvency hierarchy.<sup>16</sup> It is now to be seen whether these recommendations are converted into law.

## 3.2 USA

### 3.2.1 Laws applicable to consumers

There are various legislations which deal with consumer protection. The primary legislation dealing with consumer protection is the *Federal Trade Commission Act*. Under this law, the **Federal Trade Commission (FTC)** is empowered to (a) prevent unfair methods of competition and unfair or deceptive acts or practices in or affecting commerce; (b) seek monetary redress

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<sup>16</sup>See Recommendations 4a and 4b from Chapter 10, *Report on consumer prepayments on retailer insolvency*

and other relief for conduct injurious to consumers; (c) prescribe rules defining with specificity acts or practices that are unfair or deceptive, and establishing requirements designed to prevent such acts or practices; (d) gather and compile information and conduct investigations relating to the organization, business, practices, and management of entities engaged in commerce; and (e) make reports and legislative recommendations to Congress and the public.<sup>17</sup>

**FTC**'s Bureau of Consumer Protection is responsible for protection of consumers from fraudulent, deceptive and unfair business practices. The **FTC** can force wrongdoers to disgorge ill-gotten gains when it is able to objectively determine a clear violation of law and reasonably calculate the damages. For such restitution of the consumes, the **FTC** may use the court machinery to seek civil penalties. (Waller and Acosta 2011) Other sanctions provided by the **FTC** include sanctions such as cease and desist orders. Other federal agencies responsible for consumer protection include agencies such as the **Consumer Product Safety Commission (CPSC)**, which is responsible for reducing injury or death caused by consumer products and the **food and Drug Administration (FDA)**, which is responsible for food, drug, cosmetic and medical device safety. Further, at the state level too, there are statutes and regulatory authorities for addressing consumer protection issues.

In addition to the above, the law of torts also applies to consumers in the **USA**. Negligence and product liability are the most common causes of action for torts against consumers. While negligence is 'omission to do something which a reasonable man, guided by those considerations which ordinarily regulate the conduct of human affairs, would do. or doing something which a prudent and reasonable man would not do', product liability is the 'obligation or liability of the producer or supplier of goods and services in order to adjust for the loss associated with its utilization, such as damage of property or personal injury'.<sup>18</sup> Remedies for both these torts may be sought from the civil courts, which may grant compensation to the aggrieved consumer. Post such compensation being ordered, the consumer becomes a creditor of the seller / service provider with respect to the compensation amount.

The *Uniform Commercial Code* is the other legislation which is applicable to all commercial transactions and therefore, also to transactions of sale of goods and may be used for obtaining monetary relief from a defaulting seller.

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<sup>17</sup>The list of applicable legislations and powers of the **FTC** may be found at <https://www.ftc.gov/enforcement/statutes>

<sup>18</sup>*Black's Law Dictionary*, <https://thelawdictionary.org>

### 3.2.2 Consumers under the insolvency and bankruptcy regime

The law governing insolvency and bankruptcy in the **USA** is Title 11 of the *U.S. Code*. Sub-chapter 5 of Title 11 enlists the priorities of creditor claims. Individual consumers, under this sub-paragraph, have unsecured claims to the estate of the bankrupt. According to the sub-paragraph, such claims are ranked seventh in the list of claims. Valid claims for this sub-paragraph are claims arising out of a deposit of money in connection with the purchase, lease, or rental of property or the purchase of services, when such property or service is to be delivered or provided. As is evident, this sub-paragraph applies to consumer pre-payments. The sub-paragraph further clarifies that claims under it are to be allowed only to the extent of \$1800 for each individual. Therefore, not only are claims in respect of consumer pre-payments low in priority, the amount which may be recovered is also limited.

It is due to the limited and restricted protection provided to consumers under the *U.S. Code* that the common law remedy of establishing a ‘constructive trust’ emerged. Constructive trusts find their basis in the concept of ‘unjust enrichment’. In simple words, unjust enrichment includes not only gain on one side but loss on the other, with a tie of causation between them. (Dawson 1959) If we look at consumer pre-payments, the supplier / service provider may use the money advanced by the consumer for working capital or any other requirements, unless specifically retained as a trust. On the other hand, when the consumer does not receive the contracted property / service, the money so advanced constitutes a loss for the consumer. Therefore, there is scope to interpret an unjust enrichment in case of consumer prepayments, which in turn, may lead to the creation of a constructive trust. As with any form of trust relationship, a consumer prepayment in respect of goods/services, makes the consumer the beneficiary of the goods/services and in the absence of delivery, of the prepaid amount. The amount is held in trust by the seller / service provider as against the delivery of the goods / services. Since the beneficiary of the amount is the consumer and not the seller / service provider, when calculating the estate of such a seller / service provider, if the constructive trust is established, the prepaid amount will not be considered. This is for the simple reason that the money is not his property to be distributed. Since the beneficiary is the consumer, it ‘belongs’ to the consumer. However, unless the prepaid sum has been kept separately by the seller / service provider, it is unlikely that the consumer will be able to recover her entire claim.



## 4 Observations and lessons for India

### 4.1 Observations from the cross country comparison

The above description of laws and rights applicable to consumers in India, the **UK** and the **USA** provide some measures for comparison of the three legal regimes. This section contains observations made in respect of the legal regimes in the **UK** and the **USA**, which provide certain lessons for India to deal with the issue of consumers as creditors under the insolvency and bankruptcy laws. The two primary observations from the **UK** and the **USA** are in respect of the existing consumer protection laws and in terms of preferential treatment, if any, provided to consumers.

As is evident from sections 3.1.1 and 3.1.1, both jurisdictions have enacted specific laws for ensuring consumer protection, while also providing relief under common law and in equity. While India also has similar laws and provisions under common law and in equity, the effectiveness of these laws is often under the scanner, especially in terms of the timeliness of the relief.

While consumer forums have a timeline of three months recommended in the *Consumer Protection Act* for disposal of complaints, reports such as the *Evaluation Report on Impact and Effectiveness of Consumer Protection Act, 1986* suggest that due to issues of capacity and infrastructure constraints, consumer forums are unable to adhere to these timelines. Statistics show that in the year 2017, 16008 applications were pending before the **National Consumer Disputes Redressal Commission (NCDRC)**. Of these 16008 cases, 8603 cases were old pendencies carried forward from earlier years while the remaining 7405 pendencies arose from the 10803 applications filed in the year 2017.<sup>19</sup>

The average duration of consumer cases in the **UK** has been discussed in section 3.1.1.

It is observed from both regimes that no preferential treatment is accorded to consumers. Like in India, they are placed low in the waterfall of gains upon liquidation. However, both regimes have adequate and effective consumer protection laws and alternative reliefs such as reliefs from the credit card companies.

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<sup>19</sup>The statistics may be found at <http://cms.nic.in/ncdrcusersWeb/dashboard.do?method=loadDashBoardPub>

## 4.2 Lessons for India

There also exists significant diversity in the nature, size and form of consumer advances across sectors. These could be for high value purchases, such as homes, automobiles, electronic goods, or for smaller purchases such as travel, apparel, groceries or annual maintenance contracts for home appliances, home cleaning services and so on. There can also be implicit prepayments, such as airline miles, accumulated reward points or gift vouchers. Given this, the use of the general insolvency law to provide recompense to consumers requires careful analysis.

What happens when one class of actors gets priority or preferential treatment over others? There is a corresponding class of actors who is aggrieved and feels unprotected or inadequately protected or even discriminated against. What does such discrimination lead to? Discouragement from acting in a certain manner. Let us take the issue at hand. If consumers are given preferential treatment, other creditors will be discouraged from forwarding credit due to inadequate protection of their debt. Taking a step forward, if a class of consumers, such as the home buyers, are given preferential treatment and placed at par with financial creditors, other consumers may also withdraw from the credit market.

It is imperative to accept that the *Insolvency and Bankruptcy Code* is a law enacted to *consolidate and amend the laws relating to reorganisation and insolvency resolution of corporate persons, partnership firms and individuals in a time bound manner for maximisation of value of assets of such persons, to promote entrepreneurship, availability of credit and balance the interests of all the stakeholders including alteration in the order of priority of payment of Government dues and to establish an Insolvency and Bankruptcy Board of India, and for matters connected therewith or incidental thereto*.<sup>20</sup> The aim of the *Insolvency and Bankruptcy Code* is not to ensure consumer protection.

It is submitted that, as stated in section 2.7, it is possible to interpret the inclusion of consumer prepayments within the ambit of operational debt, as a first step to give more rights to consumers under the insolvency and bankruptcy regime. However, it is emphasised that the need of the hour is to bring about some policy changes in respect of the existing consumer protection framework so that the IBC is not burdened with the additional task of consumer protection.

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<sup>20</sup>Preamble to the *Insolvency and Bankruptcy Code*

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### Box 1: The preferred class of home buyers

The issue of lack of guidance on treatment of consumer prepayments and consumers as creditors found its way into the policy debate surrounding IBC in the context of the insolvency of real estate development companies. On 9th August, 2017 the Allahabad bench of the **NCLT** admitted the insolvency application filed by IDBI Bank for initiating the **Corporate Insolvency Resolution Process (CIRP)** against **Jaypee Infratech Ltd. (JIL)**. Subsequently, a group of home buyers in JIL's projects filed a writ petition in the Supreme Court (*Chitra Sharma v Union of India*) challenging Sections 14, 53 and 238 of the **IBC**.

The home buyers contended that the **CIRP** of **JIL** adversely affects them in two ways. First, the moratorium under Section 14 of the **IBC**, along with Section 238, puts on hold cases that they have already filed before the consumer forums, and prevents any new cases of this nature to be filed. Second, if the outcome of the **CIRP** is liquidation of **JIL**, under the current law, home buyers will get neither the homes they have paid for, nor a refund of their advances. In their petition, home buyers had sought two reliefs from the Court: a stay on the **CIRP** of **JIL**, and putting their claims on an even footing with those of financial creditors. Therefore, it may be said that the inception of the idea of preferential treatment of certain kinds of consumer creditors, emanated from the *Chitra Sharma* case. This idea has now taken some concrete form as one of the recommendations of the *Report of the Insolvency Law Committee*.<sup>a</sup>

Prior to the release of this report, the **IBBI** had already attempted to address the issue of home buyers as creditors by introducing the following measures:

- It released Form F for filing of claims by all creditors of a corporate debtor, not being operational and financial creditors. The home buyers fall under this category of 'other creditors' and can place their claim before the interim resolution professional using Form F.
- The *Insolvency and Bankruptcy Board of India (Insolvency Resolution Process for Corporate Persons) Regulations* were amended to mandate the inclusion of a statement in the resolution plan, showing how the interest of all stakeholders were dealt with.

Considering that the aim of the **IBC** is neither recovery of debts nor consumer protection, these steps of the **IBBI** dealt with the issue appropriately. However, now with the Insolvency Law Committee suggesting that home buyers be treated as financial creditors, only time will tell as to how rights of consumers under the **IBC** will change.

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<sup>a</sup>The report may be found at [http://www.ibbi.gov.in/ILRReport2603\\_03042018.pdf](http://www.ibbi.gov.in/ILRReport2603_03042018.pdf)